

EXECUTIVE DATA STORYTELLING REPORT: THE 2019 DISCOUNT TRAP

Prepared for: Strategic Stakeholders & Executive Management

SECTION 1: EXECUTIVE SUMMARY & CORE OPERATIONAL TARGETS

In fiscal year 2019, our Superstore achieved a strong topline performance, capturing **\$484,216.03 in Total Sales** and delivering **\$49,543.97 in Net Profit**. This generated a baseline corporate **Overall Profit Margin of 10.23%**. From a logistics and supply chain perspective, our delivery fulfillment network operated at high efficiency, maintaining a highly consistent **4.00-day average shipping duration** across our entire geographic footprint

However, behind these healthy macro numbers lies a dangerous operational reality. A deep analytical audit of our transactional data proves that **our unmonitored promotional discounting policy is the single primary catalyst behind every major financial leak across the company**

Instead of driving profitable scale, aggressive discounting has inadvertently weaponized low-margin products, high-overhead territories, and customer accounts against our bottom line. This report details the core financial bottlenecks discovered and presents immediate, prescriptive interventions to recover lost capital

SECTION 2: CRITICAL PERFORMANCE BOTTLENECKS (THE FINANCIAL LEAKS)

Leak 1: The Product Mirage (Tables & Bookcases Discount Crisis)

Product categories do not perform equally, and our revenue success in the furniture segment is an illusion

The Data: Tables stand as our **2nd highest revenue-generating sub-category**, capturing a massive **\$46,088.36 in Sales**. Yet, this massive volume generated a catastrophic **Net Loss of -\$3,124.04** (PDF.pdf p. 8). Similarly, Bookcases brought in \$20,036.67 in sales but resulted in a net loss of -\$346.17

The Root Cause: The data proves that we are applying an unsustainable **average discount rate of 26.6% on Tables and 20.5% on Bookcases**. Furniture items feature massive physical profiles, high material weights, and severe shipping overheads. When we slash a quarter of the product's value through promotions, the remaining margin is entirely devoured by logistics costs, forcing the company to pay out of pocket to ship unprofitable items

Leak 2: The Geographical Trap (The Texas Discount Disaster)

Territorial expansion should increase profitability, but our third-largest regional market has transformed into a critical revenue sinkhole

1. **The Data:** Texas is a powerhouse market by sales volume, representing our **3rd largest state by revenue with \$50,625.17 in Sales**. However, this massive market presence resulted in a devastating **Net Loss of -\$9,135.01**. By comparison, California generated \$91,303.53 in sales and yielded our highest corporate net profit of **+\$12,637.94**.
2. **The Root Cause:** Texas suffers from structural promotional abuse, maintaining a shocking **average discount rate of 36.9% across all orders** (PDF.pdf p. 14). California achieved its record profits by tightly controlling its promotional margins, maintaining a low average discount of **7.1%**. Our pricing strategy in Texas completely devalued our products, converting our third most valuable market into our largest geographical drain.

Leak 3: The Customer Illusion (Sean Miller Account Exploitation)

Customer loyalty programs are designed to optimize lifetime value, but unmonitored promo frameworks allow high-volume buyers to exploit our margins (PDF.pdf pp. 14-15).

- **The Data:** A customer named **Sean Miller** stands as our **#1 buyer by gross volume, single-handedly driving \$23,661.22 in Sales**. Yet, instead of being our most valuable customer, his transactional profile cost the company a **Net Loss of -\$1,789.73**.
- **The Root Cause:** Sean Miller maintained an aggressive average discount profile of **28.5% across his entire purchase history**. The data indicates that this account systematically targeted low-margin, heavy-discount promotional items. By stacking promotional incentives, this buyer successfully extracted corporate value, ensuring that the more volume he bought, the more capital our store lost.

SECTION 3: REVENUE COMPARATIVE INDEX

The data table below summarizes the extreme performance variance created by our discounting policy across product classifications, regional states, and core customer profiles:

Operational Dimension	Segment / Entity	Total Sales Revenue	Average Discount Applied	Net Financial Impact	Performance Status
Product Sub-Category	Tables	\$46,088.36 (PDF.pdf p. 8)	26.62% (PDF.pdf p. 14)	-\$3,124.04 (PDF.pdf p. 8)	 Critical Margin Leak
Product Sub-Category	Bookcases	\$20,036.67 (PDF.pdf p. 8)	20.57% (PDF.pdf p. 14)	-\$346.17 (PDF.pdf p. 8)	 Underperforming
Geographical State	California	\$91,303.53 (PDF.pdf p. 11)	7.12% (PDF.pdf p. 14)	+\$12,637.94 (PDF.pdf p. 11)	 High-Efficiency Star
Geographical State	Texas	\$50,625.17 (PDF.pdf p. 11)	36.94% (PDF.pdf p. 14)	-\$9,135.01 (PDF.pdf p. 11)	 Regional Sinkhole
Customer Account	Sean Miller	\$23,661.22 (PDF.pdf p. 11)	28.57% (PDF.pdf p. 14)	-\$1,789.73 (PDF.pdf p. 11)	 Account Exploitation

 SECTION 4: PRESCRIPTIVE STRATEGIC ROADMAP (ACTION PLAN)

To instantly halt capital degradation and structurally rebuild corporate profit margins back above our 10.23% baseline, management must immediately execute the following three data-driven mandates :

 Mandate A: Enforce a Strict 20% Hard Promotional Cap

- **Action:** Programmatically update the e-commerce checkout architecture and point-of-sale systems to enforce a **hard 20% maximum discount limit per transaction** .
- **Impact:** This structural restriction immediately blocks high-volume wholesale buyers, such as the Sean Miller account, from stacking promotional codes to purchase items below cost, safely insulating our gross margins.

 Mandate B: Permanently Eliminate Discounts on Heavy Freight Items

- **Action:** Completely dismantle all promotional campaigns, coupon options, and markdown allowances for high-weight sub-categories, specifically **Tables** and **Bookcases** .

- **Impact:** Forcing these items to sell at full retail price preserves the margin required to absorb freight, packaging, and long-distance shipping overheads, instantly converting these high-revenue categories from red to profitable lines .

3 Mandate C: Freeze and Reallocate Regional Marketing Capital

- **Action:** Immediately freeze all discount-heavy marketing campaigns and customer acquisition budgets inside the state of **Texas** , Reallocate those active funds directly into proven, low-discount, high-margin territories like **California** and **New York** .
- **Impact:** This shift ensures corporate marketing capital is funneled exclusively into markets that respect retail margins (e.g., California's 7.1% and New York's 6.4% average discount profiles), maximizing return on investment (ROI) and stopping regional revenue erosion .